INTERNATIONAL MONETARY FUND

DOMINICA

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STAFF REPORT FOR THE 2023 ARTICLE IV CONSULTATION—DEBT SUSTAINABILIT ANALYSIS[1]

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Prepared by the staffs of the International Monetary Fund and the International Development Association.

Dominica Joint Bank-Fund Debt Sustainability Analysis[2]	
Risk of external debt distress	*High*
Overall risk of debt distress	*High*
Granularity in the risk rating	*Sustainable*
Application of judgement	*No*

Dominica's debt is sustainable, but the country remains at high risk of debt distress, with elevated levels of public and external debt. The COVID-19 pandemic and global economic effects from Russia's invasion of Ukraine compounded preexisting debt sustainability challenges, as the economy was still recovering from back-to-back natural disasters (ND) in 2015 and 2017. Public debt peaked at 112.5 percent of GDP in 2020, declining to 106 percent of GDP in 2021. While it is expected to continue falling over the medium and long run, current policies are insufficient to meet the regional debt target (60 percent of GDP) by 2035, and the present value of the public debt ratio remains above the benchmark for a protracted period, signaling persistent risks. Implementation of fiscal consolidation consistent with national fiscal rule approved in 2021 (primary balance target of 2 percent of GDP by 2026), along with a sound tourism recovery and continued Citizenship-by-investment (CBI) inflows, would put public and external debt on a firm sustainable path, reducing vulnerabilities. Main downside risks to the debt sustainability outlook include slower global growth and weaker tourism-related revenue, ND, and weaker than projected revenues from the CBI program.

[1] The last published DSA for Dominica can be accessed here. This DSA follows the Guidance Note of the Join Bank-Fund Debt Sustainability Framework for Low Income Countries, February 2018.

[2] Dominica's score in the Composite indicator (CI) is 3.04 which implies a medium debt carrying capacity. The CI is calculated based on data from the October 2022 WEO and the 2021 CPIA data.

PUBLIC DEBT COVERAGE

1. Public sector debt includes central government direct and guaranteed debt. Dominica's public and total external debts are high, estimated at 106.3 and 82 percent of GDP respectively, in 2021. Central government direct debt accounts for over 80 percent of total public debt. Guaranteed debts are directed to State Owned Enterprises (SOEs), including borrowing under the Petrocaribe arrangement with Venezuela.[3] Public and Publicly Guaranteed (PPG) external debt is mostly owed to multilateral creditors, while the National Bank of Dominica (NBD) and the Dominica Social Security (DSS) are the main domestic creditors. There is no borrowing by local/state governments and no borrowing by the central bank on behalf of the government. External debt is defined using a residency criterion, but there is no material difference between using a residency or currency basis definition. SOE's non-guaranteed debts, which are mostly domestic and mainly pertain to the NBD, the Agricultural and Industrial Development Bank of Dominica (AID), and the DSS, are not included in the public debt stock but are expected to be small compared to their guaranteed part.[4] Other SOEs are not permitted to borrow externally without government guarantees. It is expected that all SOE debts will be included in the public debt with progress on monitoring the SOEs under the Public Procurement and Disposal of Public Property Act.[5] Recent measures to improve coverage and timeliness of debt reporting include introducing an annual Debt Portfolio Review (DPR), including loan guarantees under the 2019 DPR, submitting the DPR to Parliament and publishing the DPR on the Ministry of Finance website.

2. The Contingent Liability stress test has been calibrated to reflect risks associated with debt not captured in the baseline. There are no Public-Private Partnerships in Dominica and therefore no related contingent liability has been included. The financial market contingent liability shock is calibrated at 7 percent of GDP (higher than the 5 percent of GDP default) to account for potentially higher fiscal costs of strengthening financial sector balance sheets in the event of a natural disaster given undercapitalization of non-bank financial institutions and high non-performing loans in Dominica.

[3] Estimated borrowing under Petrocaribe is based on the terms under its original loan agreement. It should be noted, however, that its debt service payments have been cancelled or rescheduled in recent years, a pattern that may continue in the coming years. Outstanding debt to Petrocaribe is estimated at 6 percent of the total debt stock as of 2021.

[4] Non-guaranteed SOE debt is collateralized against assets of the SOE.

[5] Debt service-to-revenue ratios may be biased favorably given incomplete coverage of SOE debt stock (since no data is available on non-guaranteed SOE debts) but complete coverage of SOE revenues in the fiscal accounts.

Table 1. Dominica: Coverage of Public Sector Debt

	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	
8	Non-guaranteed SOE debt	

Table 2. Dominica: Contingency Liability Calibration Table

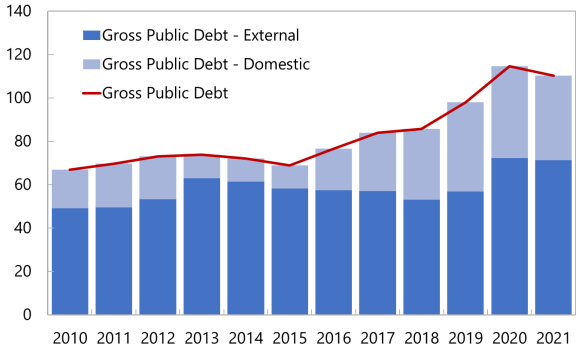
1	The country's coverage of public debt	The central government, government-guaranteed debt			
		Default		Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0	percent of GDP	0.0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2	percent of GDP	2.0	
4	PPP	35	percent of PPP stock	0.0	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5	percent of GDP	7.0	Hurricane's impact on financial institutions
	Total (2+3+4+5) (in percent of GDP)			9.0	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

BACKGROUND ON DEBT

3. Successive ND put public debt on an upward trajectory, which peaked in the aftermath of the COVID-19 pandemic. Tropical storm Erika in 2015 and hurricane Maria in 2017 resulted in large declines in public revenue while imposing sizeable reconstruction expenditure needs on the budget. Though strong CBI revenues provided significant financing for the reconstruction efforts, large and persistent primary deficits led to an increase in the public debt level from an average of 72 percent of GDP in 2012–15 to 98 percent of GDP by 2019. The effects of pandemic further worsened debt dynamics, with an output contraction of 5.9 percent in FY20/21, resulting in the debt-to-GDP ratio reaching 113 percent. The debt-to-GDP ratio came down to 106 percent in FY21/22 mostly as a result of high nominal output growth, while the deficit remained elevated in part due to support measures (transfers and subsidies) to cushion the effects of the pandemic and the war in Ukraine.

Text Figure 1. Gross Public Debt
(Percent of GDP)



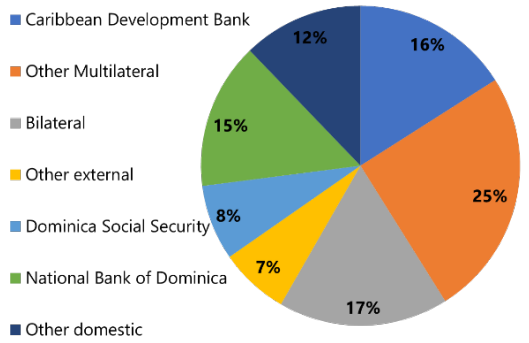
Sources: Authorities data and Fund Staff calculations.

4. External debt has risen on account of persistent current account (CA) deficits from large reconstruction needs, contained by high CBI revenue. Public and private investments in reconstruction work following hurricane Maria in 2017 resulted in steep increases in imports during 2018–19, with the import bill exceeding 70 percent of GDP in both years. While the economic

contraction in 2020 led to a reduction in (nominal) imports, exports fell by a similar measure, and the CA deficit remained significantly higher than the pre-Maria average as a percent of GDP. More recently, the rebound in tourism supported some adjustment of the CA, while record high CBI inflows helped finance investment goods imports. However, the PPG external debt ratio increased sharply during the pandemic, given extensive reliance on concessional financing, and remained elevated in 2021–22.

5. Dominica has no access to international financial markets and borrows mainly from official creditors. Two thirds of Dominica's PPG debt is external, but 90 percent of it is owed to official bilateral and multilateral creditors. The World Bank is Dominica's largest creditor, holding 29 percent of the total external public debt stock. Venezuela's Petrocaribe is the largest bilateral creditor, followed by the Government of China and the French Development Agency. Additional external financing is obtained through bonds purchased by regional commercial banks, insurance companies, and pension funds.

Text Figure 2. Composition of Public Debt
(Percent of Total, 2021)



Sources: Authorities data and Fund Staff calculations.

6. Domestic financing is primarily composed of direct credits from the NBD and local debt holders, mainly the DSS. As of June 2022, domestic debt accounted for 35 percent of total public sector debt. Reliance on domestic financing has increased since hurricane Maria, with large recourse to direct borrowing from the NBD during FY17/18 and increased use of their overdraft facility, most notably in 2018–19 when reconstruction costs were high and the level of grant financing low.

BACKGROUND ON MACRO FORECASTS

7. Growth projections include a permanent output loss due to the pandemic, as well as a boost from the large public investment plan. While real output rebounded strongly in 2021, scarring effects from the pandemic—related to lower labor supply, extended school closures, and narrower fiscal space—are expected to weigh on growth potential through the medium term. Still, GDP is expected to continue recovering at an average growth rate of 3.9 percent in FY22–27, considering the execution of Dominica's large public investment plan and the recovery of the tourism sector. The tourism recovery is also expected to be boosted by the new airport and new hotel facilities becoming operational. The large public investment is largely financed by CBI revenue

and has positive spillovers on the overall economy.[6] In the long term, after 2026, output growth is projected to gradually decline and to converge to a potential growth rate of 2.7 percent.

8. Relative to the baseline scenario in the 2021 IMF Article IV Staff Report, growth is less buoyant given a less favorable external environment. Growth has been revised downwards to account for the impact of Russia's invasion of Ukraine on global growth. This compounds the effect of a large downward revision in 2019–20 growth rates, which pushed the debt ratio upwards. Inflation has been revised upwards, mostly to reflect the pass through of higher global oil and food prices. The latter also explains a higher CA deficit than previously anticipated, even if tourism is expected to recover. The overall fiscal balance trajectory has deteriorated owing to a slower implementation of the initial fiscal consolidation plan.

Table 3. Dominica: IMF Staff Projections 2023 vs. 2021

	2023 Article IV						2021 Article IV					
	2021	2022	2023	2024	2025	2026	2021	2022	2023	2024	2025	2026
Real GDP 1/3/	6.9	5.7	4.7	4.6	4.2	2.9	3.7	7.6	5.4	4.6	4.1	2.5
Inflation (EoP) 3/	3.5	7.3	5.0	2.2	2.0	2.0	3.0	2.5	2.0	2.0	2.0	2.0
Overall fiscal balance 2/4/	-8.7	-4.0	-4.2	-3.2	-2.9	-2.4	-11.0	-1.8	-2.0	-3.3	-2.9	-1.4
CBI revenue 4/	28.6	18.0	17.0	15.0	14.0	14.0	24.5	19.0	17.0	15.0	14.0	14.0
Public Capital Expenditure 2/4/	26.2	12.8	13.6	11.8	11.3	10.9	24.9	15.4	14.9	14.9	13.9	12.9
Current account balance 2/4/	-27.6	-26.2	-25.2	-17.7	-15.9	-14.3	-31.4	-28.7	-24.0	-18.3	-17.1	-14.7

Sources: Dominican authorities; Eastern Caribbean Central Bank (ECCB); and Fund staff estimates and projections.
1/ At market prices.
2/ Data for fiscal years from July to June.
3/ Annual percent change.
4/ Percent of GDP.

9. This Debt Sustainability Analysis (DSA) is built on the baseline scenario of the June 2023 IMF Article IV Staff Report. Long-term growth projections and fiscal parameters incorporate the long-term impact of ND.[7] Specific assumptions include:

- **Fiscal position.** After a sharp deterioration in tax revenues and concurrent increase in spending—on health, social transfers, subsidies, and goods and services—to support the economy in 2020–21, tax revenues (other than from imports) are projected to gradually recover in the medium term, while spending will moderate both on the back of less government consumption and investment. As such, the primary balance (including ND costs) is expected to increase from -6.2 percent of GDP in FY21/22 to -0.3 percent in the medium term. The projection assumes implementation of fiscal consolidation measures (excluding investment changes) generating cumulative savings of 3.4 percent of GDP during 2023–28. The plan is less ambitious than envisaged in the 2021 Article IV consultation, in part due to the policy response to external shocks—COVID-19 and the war in Ukraine. Efforts to streamline tax expenditures have stalled, and in part reversed with the expansion of income

[6] Work on both the airport and geothermal project has already begun in the 2022–23 fiscal year.

[7] The fiscal deficit includes an annualized cost of ND of 1.5 percent of GDP. This is in line with guidance from the WB– MF Staff Guidance Note.

tax deductions for private insurance and education spending, and VAT cuts on electricity.[8] Implementation of a presumptive personal income tax was postponed to the next fiscal year, while progress in reducing tax arrears has been slow. A tax on idle properties was however introduced, as expected, with the first payment expected to take place in August 2023. Exemption of import duties for vehicles was also lifted as planned and a review of water and sewerage tariffs is also track. Efforts to reduce inefficient spending are underway, but CARICAD's recent public service review could result in higher spending, and an additional increase in pension contribution rates (beyond the current schedule) is no longer expected.

- **CBI revenue.** CBI revenue is projected to remain buoyant in the medium term, although declining substantially from close to 30 percent of GDP in FY21/22 to 18 percent of GDP in FY22/23, tapering to 14 percent of GDP by 2025. This assumption is supported by several years of sizeable inflows starting in 2014, which have remained resilient in the face of successive ND and a pandemic. In FY21/22, CBI reached 29.4 percent of GDP, only slightly lower than in the previous year. The FY22/23 projection conservatively assumes a decline in CBI revenue for the fiscal year, albeit still high compared to historical levels.[9] CBI is expected to remain essentially earmarked to public investment, debt amortization and accumulation of savings.[10]

- **Grants.** Grants are projected at 2.4 percent of GDP, in line with the historical average.

- **Real GDP.** Real GDP in 2021 is estimated to have rebounded by 6.9 percent, driven by construction in public works and the expansion of hotel capacity, after a contraction of nearly 17 percent in 2020. Output is projected to have grown 5.7 percent in 2022 owing to a recovery in tourism, retail, and other related activities. The growth outlook is predicated on a full recovery of the tourism sector by 2024 and continued implementation of Dominica's large public investment program**.** The largest projects include the geothermal energy plant (expected in the next 2 to 3 years) and a new airport (in the next 4 to 5 years), with positive spillover effects on overall economic activity and competitiveness. In the long term, after 2026, the output growth is projected to gradually decline and to converge to a growth rate of 2.7 percent.

- **Inflation.** Inflation is estimated to have peaked at 7.5 percent in 2022 driven by the pickup in economic activity and higher global energy prices, but to converge to 2 percent in the medium-term, in line with US inflation (consistent with the fixed exchange rate under the currency board arrangement of the Eastern Caribbean Central Bank, the regional monetary authority).

[8] As part of the set of measures to mitigate the rise of fuel prices, the government eliminated VAT levied on fuel surcharges included in the electricity price and raised the number of VAT free individual consumption units. Although initially temporary, the measure has been made permanent.

[9] Current projections are underpinned by strong CBI outturn in 2021 and outrun into December 2022.

[10] The government is recurrently saving a small part of CBI to its Vulnerability and Resilience Fund. A Debt Repayment Fund is also under implementation.

- **Balance of Payments.** The CA deficit improved in 2021, to 27.6 percent of GDP, due to a pick-up in goods' exports and higher remittances. In 2022, tourism exports supported another (more modest) improvement, to 26.2 percent of GDP, even if imports increased in hand with high commodity prices. In the medium term, the CA deficit is projected to steadily decline, as exports strengthen and imports wane, but is to remain above 10 percent of GDP until 2028.

- **Financing conditions.** Dominica is expected to obtain financing both from multilateral lenders and domestic creditors (mostly though the rollover of existing debt), with negligible borrowing from other sources. Multilateral financing is expected to contribute the bulk of external financing in the medium term, associated with projects to build resilience to ND, transition to geothermal energy, and improve fiscal institutions.[11] Official external financing is projected at 4 percent of GDP in the medium term (2024–26) and 2 percent of GDP in the long term (after 2026), and it will cover the planned public investment along with the CBI revenue. Domestic debt is issued in relatively favorable terms.[12] The baseline assumes partial use of deposits (Table 4). The G20's Debt Service Suspension Initiative (DSSI) repayment schedule is reflected in the DSA assumptions.[13] Furthermore, the DSA and baseline macroframework assume that the authorities do not use their SDR allocation.

[11] World Bank financing in the projection period is assumed to have grace period of 10 years and maturity of 40 years, at 1.28 percent interest, CDB financing is assumed at 10-year grace, 20-year maturity and 2.5 percent interest rate. Other multilateral borrowing is assumed at 5 years grace, 10-year maturity and 2 percent interest rate.

[12] Domestic borrowing is assumed to accrue from the NBD. This takes the form of an overdraft facility, which is converted into long term bonds. These bonds have generous terms, with long maturities and low interest rates. The DSA assumes 0 years grace, 5-year maturity and 7 percent interest rate on domestic borrowing in the medium term. In the long term, domestic borrowing is assumed to have 7-year maturity, to account for the authorities' medium term debt strategy to extend debt maturity to 9 years. DSA assumptions remain more conservative than authorities' strategy in the medium and long term.

[13] Dominica benefited from the DSSI initiative until 2021, but payments have resumed since then and are reflected in the DSA projections.

Table 4. Dominica: Government Financing Needs and Sources
(In US$ million, fiscal years July-June)

	2022	2023	2024	2025	2026	2027
Gross Financing needs	**59**	**92**	**77**	**77**	**79**	**78**
Overall deficit	38	43	37	37	35	32
Primary deficit	**13**	**12**	**5**	**6**	**5**	**2**
Interest	**23**	**30**	**31**	**30**	**28**	**28**
External debt	6	7	7	8	8	8
Domestic debt	17	23	24	22	20	20
Principal repayments	**23**	**50**	**41**	**41**	**45**	**48**
External, new debt	0	0	0	0	1	1
o.w. contracted obligations in pipeline	10	21	20	17	15	13
Domestic	13	29	21	24	29	33
Other debt creating flows (use of deposits) 1/	**-19**	**-15**	**-11**	**-4**	**-2**	**-1**
Deposit stock:	**51**	**36**	**25**	**21**	**19**	**19**
Gross financing sources 2/	**41**	**77**	**66**	**73**	**77**	**78**
External financing	**21**	**31**	**42**	**44**	**47**	**50**
Multilateral	21	31	42	41	37	40
WB	17	20	30	27	23	25
CDB	4	12	12	13	14	14
IMF	0	0	0	0	0	0
other	0	0	0	0	0	0
Bilateral	0	0	0	0	4	5
Commercial & other	0	0	0	4	5	5
Domestic financing	20	46	24	29	30	27

Source: IMF staff estimates.
1/ Use of government deposits from excess CBI
2/ Gross Financing Sources equals Gross Financing Needs minus Use of Deposits

10. Debt dynamics have been driven by unexpected shocks (see Figure 3). Back-to-back ND and the pandemic resulted in higher-than-expected primary deficits and lower GDP growth, which translated into an increase in the debt/GDP ratio. The projected recovery in GDP growth after the pandemic and the envisaged fiscal consolidation plan are the main determinants of the debt dynamics in the next five years.

11. Results from applying DSA Realism Tools are affected by substantial growth volatility related to the pandemic (see Figure 4). Real GDP growth paths implied from some fiscal multipliers are similar to the baseline growth projections (see upper-right chart). Moreover, the extent of primary adjustment is overstated as the non-CBI primary balance remains a deficit. The projected relation between public investment and real GDP growth differs substantially from the historical relation due the impact of unexpected shocks from the pandemic and successive ND in 2015 and 2017 which delink growth from fiscal spending (see lower-right chart).

COUNTRY CLASSIFICATION AND DETERMINATION OF SCENARIO STRESS TESTS

Table 5. Dominica: Calculation of CI Index

Country	Dominica
Country Code	**321**

Debt Carrying Capacity	**Medium**

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintages
Medium	Medium 3.04	Medium 2.97	Medium 3.02

12. Indicative debt thresholds in this DSA are determined by the "Medium" rating of Dominica's debt carrying capacity. The rating is based on the Composite Index (CI) score of the country, which assumes that the risk of debt distress is determined by the quality of institutions (measured by the World Bank Country Policy and Institutional Assessment (CPIA) score), and other country-specific factors such as economic growth, reserves level, and remittances.[14] The calculation of the CI is based on 10-year averages of the variables, across 5 years of historical data and 5 years of projection, and the corresponding CPIA. Import coverage of reserves continues to be a factor supporting this rating in Dominica. The rating remains unchanged from the previous DSA.

13. Both external and public debt analysis consider standard-DSA alternative scenarios to this baseline. The DSA includes six standardized and a contingent liability stress test. The financial market contingency liability is included at 7 percent of GDP, above the default of 5 percent of GDP, to account for the risk from ND. This adjustment is made to account for potentially higher fiscal costs of strengthening financial sector balance sheets in the event of a natural disaster given undercapitalization of non-bank financial institutions and high non-performing loans in Dominica. A customized "Catastrophic Climate Event" scenario is added, which assumes the reoccurrence of a Category 5 hurricane in the second half of 2023. This scenario assumes declines in real GDP, exports, and revenues in line with those following hurricane Maria, as well as a considerable increase in expenditure in rehabilitation, albeit with a slower pace of recovery to account for more binding financing constraints.[15]

[14] The CI indicator is calculated based on data from the October 2022 WEO and the 2021 CPIA data.

[15] The reconstruction after hurricane Maria included record-high public investment in resilient infrastructure which was possible with financing from large government deposits from the CBI program revenue accumulated before the hurricane.

EXTERNAL DSA

14. The PV of external public debt to GDP and debt to exports ratios are close to the threshold for countries of medium debt carrying capacity in the baseline scenario. The PV of external public debt-to-GDP is on a declining trend in the near term and remains below the threshold established for countries with "medium" debt carrying capacity through 2032 (Figure 1). However, the threshold is breached by a large margin in the event of a catastrophic climate event or the most extreme shock scenario of a reduction in exports to one standard deviation below its historical average. PV of external public debt to exports falls below the threshold throughout the projection horizon but goes well above the threshold in the case of the most extreme export shock.[16] The debt service to exports ratio is above the threshold in 2023, given that exports are still below their pre pandemic levels; but the ratio stays below its threshold after 2024. Both the PV of external public debt-to-GDP and PV of debt-to-exports ratios remain below the threshold in the medium term. The historical scenario has a similar trajectory in the debt to GDP ratio in initial years but leads to higher debt accumulation in the medium term.

15. Debt service metrics are on a declining trend and remain below the threshold for most of the projection period. Hence the debt service to exports ratio remains below threshold from 2025 in all scenarios barring the most extreme shock. Moreover, debt service in relation to revenue remains below the threshold for all shocks.

16. Based on the threshold breaches under the baseline, the risk of external debt distress is assessed as high. The conclusion is based on baseline debt projections breaching their respective thresholds mainly as a result of high debt stock as a starting point. In addition, the alternative scenarios reinforce this conclusion, with historical and catastrophic climate shock scenarios resulting in breaching of thresholds for most debt indicators in the projection.

17. Residuals are high but on a declining trend. Residuals are high in the historical period and peak in 2019 but decline consistently throughout the projection period. The residual is mostly explained by the use of government deposits derived from CBI revenues and changes in private external debt, and they become smaller as the use of deposits becomes lower from 2023 onwards.

OVERALL RISK OF PUBLIC DEBT DISTRESS

18. Under the baseline scenario, public debt is assessed to be sustainable but remains at high risk of debt distress. Risks are somewhat higher than assessed in the 2021 Article IV consultation. The current fiscal consolidation plan, combined with continued CBI inflows to finance public investment projects and boost growth, result in a declining trajectory of the public debt, but is insufficient to reach the regional debt target of 60 percent of GDP by 2035 (as was previously expected). Furthermore, as discussed below, key metrics of debt sustainability remain elevated over most of the horizon owing mainly to the higher initial debt ratio (due to large downward revisions to

[16] Given that Dominica is in a currency union with other OECS countries, constraints around debt-to-exports ratios are much less important. In the case of a catastrophic climate event, given the geographical alignment of OECS members, it is unlikely that all, or even several, would be hit simultaneously.

the 2019–20 growth rates) and are sensitive to stress scenarios. Relative to the historical scenario, debt declines more rapidly owing to a stronger growth rebound after the pandemic, driven by sustained high public investment (see Figure 3).

19. PPG debt remains high and above the threshold under the baseline over the horizon. Under the baseline scenario assumptions, public debt remains on a declining trajectory, but the PV of total public-sector debt-to-GDP ratio remains above the corresponding benchmark throughout the projection period. All shocks result in large breaches of the benchmark. The debt service-to-revenue ratios increase in the near-term due to slow recovery in tax revenue following the pandemic but decline afterwards.

RISK RATING, VULNERABILITY AND RECOMMENDATIONS

20. The stress tests omit important mitigating factors that cannot be internalized within the standardized framework in this DSA:

- *Resilience to natural disasters.* Large investments in physical and social resiliency to ND, which underpin the large fiscal deficits of recent years, will reduce rehabilitation and reconstruction spending following ND and climate shocks in the long run by mitigating output and tax revenue declines after those events. This may reduce the fiscal deficit and debt financing parameters used in the stress test in the long term.

- *Fiscal buffers.* Large government deposits obtained from buoyant CBI revenue have been used to finance fiscal deficits since 2015. Without this buffer, the fiscal deficits in 2018–19 would have been significantly smaller due to constrained financing, which would result in lower debt in the standardized stress test for the historical and catastrophic climate event scenarios. The government's intention to improve fiscal buffers in the medium term by accumulating savings in the Vulnerability and Resilience Fund (VRF) for self-insurance against ND will further cushion the financial impact of catastrophic climate events. Staff's recommendation to reprioritize CBI revenues towards enhancing VRF contributions and paying down debt (or, equivalently, saving into the Debt Repayment Fund) would further enhance debt sustainability by reducing borrowing needs following extreme climate shocks and lowering outstanding debt stock.

21. Non-resident deposits of Dominican expats reduce rollover risk of external debt while enhancing imputed international reserves. Nearly 20 percent of the stock of external debt, equivalent to about 19 percent of GDP, is composed of non-resident deposits held in the banking sector. These depositors are typically Dominica nationals that have migrated to developed nations but continue to have family and economic links with Dominica and therefore continue to maintain assets in the banking sector. This liability enhances overall stability of external debt given its low rollover risk. In addition, these deposit inflows generate an increase of imputed international reserves given the regional currency board arrangement.

22. With sustained progress on the fiscal consolidation plan, the implementation of the fiscal rule and the commitment to continue seeking concessional financing terms, Dominica's external and overall debt are sustainable but remain at high risk of distress. The authorities' fiscal consolidation plans combined with sustained CBI revenue are sufficient to bring public and external debt on a downward path, although some key indicators remain above the relevant thresholds for much of the horizon. The planned accumulation of a liquid fiscal reserve in the VRF will help protect debt service capacity and resilience to ND, thereby reducing risk of debt becoming unsustainable. Execution of the government development plan centered on building resilience to ND will further strengthen public and external debt sustainability, by reducing spending in reconstruction and rehabilitation after ND, containing output and employment losses with resilient structures, and increasing output in the long term by stimulating investment and employment (including by reducing out-migration) in a more resilient economy. Adherence to staff recommendations for enhancing contributions to the VRF and paying down debt with CBI revenues will further enhance debt sustainability.

23. The debt projections are underpinned by macro-framework assumptions which are subject to risk. CBI inflow projections are subject to downside risk if traveling restrictions are imposed by third nations, reducing the value of holding a Dominican passport, which is the main incentive to acquire Dominica citizenship. CBI also has upside risk, as staff's projection is conservative relative to recent historical patterns. This upside risk has materialized in 2020 and 2021 with the receipt of unprecedented inflows of CBI revenues. Slower than expected recovery of the tourism sector may continue to place a downward pressure on GDP growth, which may also lead to a deterioration in debt dynamics. However, relative to other countries in the region, Dominica's reliance on tourism is lower and the assumptions underpinning growth recovery are determined primarily by high public investment. External grants have been projected conservatively and have upside risk. Market risks are contained as nearly 90 percent of the debt portfolio consists of fixed interest debt, and currency risks are limited by the currency board arrangement and external debt portfolio being dominated by USD and EC dollar debt.

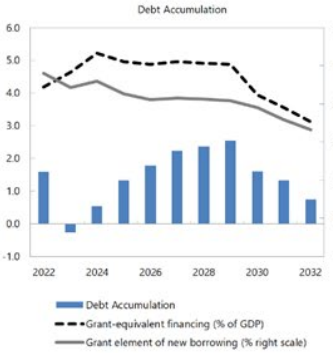
24. Increased reliance on domestic borrowing heightened risks to public debt, which could become unsustainable should risk scenarios materialize. Higher than projected reliance on domestic debt during 2018–21 has resulted in larger debt service burdens arising from domestic borrowing which underscore a threat to financial stability due to the bank- and non-bank-sovereign nexus should unanticipated shocks threaten the government's ability to service its debts. Domestic debt service spikes in 2023 but moderates thereafter. The authorities should closely monitor the financial stability of local bond holders, particularly the DSS. The stress tests highlight exposure to a catastrophic climate event as the main risk, a shock that could increase debt into unsustainability, reinforcing the importance of the authorities' commitment to the fiscal consolidation plan and the implementation of the fiscal rule, as well the continued multilateral and bilateral financial support on concessional terms.

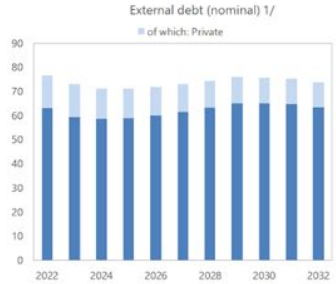
Table 6. Dominica: External Debt Sustainability Framework, Baseline Scenario, 2019–42

(In percent of GDP, unless otherwise indicated)[1]

	Actual			Projections								Average 8/	
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2032	2042	Historical	Projections
External debt (nominal) 1/	87.6	101.1	82.0	76.6	73.0	71.1	71.1	71.8	73.1	73.8	45.9	87.8	73.8
of which: public and publicly guaranteed (PPG)	56.6	70.9	68.6	63.1	59.3	58.5	58.9	60.0	61.5	63.5	37.9	59.9	62.0
Change in external debt	-12.1	13.5	-19.1	-5.4	-3.6	-1.8	-0.1	0.8	1.2	-1.4	-3.0		
Identified net debt-creating flows	32.2	34.2	9.4	14.7	14.9	9.5	8.7	7.7	6.2	5.6	4.1	10.9	7.9
Non-interest current account deficit	37.4	32.3	24.4	23.8	22.8	15.6	14.1	12.5	11.1	9.8	7.7	17.5	13.5
Deficit in balance of goods and services	38.5	39.3	31.1	29.8	29.9	22.8	21.2	19.6	18.2	17.5	14.4	23.4	20.6
Exports	37.9	18.0	20.8	24.0	26.7	30.3	32.9	33.1	33.4	32.7	29.1		
Imports	76.4	57.3	51.9	53.8	56.6	53.1	54.0	52.7	51.6	50.2	43.5		
Net current transfers (negative = inflow)	-1.4	-4.2	-5.1	-4.9	-4.9	-4.9	-4.9	-4.9	-4.9	-4.9	-4.8	-5.7	-4.9
of which: official	-0.2	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other current account flows (negative = net inflow)	0.4	-2.8	-1.6	-1.0	-2.2	-2.3	-2.2	-2.2	-2.2	-2.7	-1.8	-0.2	-2.3
Net FDI (negative = inflow)	-11.3	-4.1	-5.7	-6.3	-6.2	-4.7	-4.5	-4.4	-4.4	-4.5	-3.7	-6.9	-4.8
Endogenous debt dynamics 2/	6.0	6.1	-9.4	-2.8	-1.7	-1.4	-0.9	-0.4	-0.4	0.3	0.1		
Contribution from nominal interest rate	1.5	1.4	1.4	1.0	1.6	1.6	1.5	1.5	1.4	1.7	1.0		
Contribution from real GDP growth	6.1	5.5	-5.7	-3.8	-3.3	-3.0	-2.4	-1.9	-1.8	-1.4	-0.9		
Contribution from price and exchange rate changes	-1.6	-0.8	-5.1	…	…	…	…	…	…	…	…		
Residual 3/	-44.3	-20.8	-28.4	-20.2	-18.5	-11.3	-8.8	-6.9	-5.0	-7.0	-7.1	-10.1	-8.7
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	…	…	39.3	36.4	33.2	31.6	31.2	31.4	32.1	33.4	17.6		
PV of PPG external debt-to-exports ratio	…	…	188.9	151.6	124.1	104.3	94.8	94.9	96.1	102.0	60.3		
PPG debt service-to-exports ratio	16.3	22.5	20.6	9.3	17.5	14.2	11.1	9.9	8.7	7.7	7.7		
PPG debt service-to-revenue ratio	13.2	6.2	7.1	4.6	9.4	9.0	7.8	7.0	6.3	5.5	5.0		
Gross external financing need (Million of U.S. dollars)	183.2	173.5	139.3	134.5	157.0	121.1	110.9	100.3	88.7	90.5	107.8		
Key macroeconomic assumptions 4/													
Real GDP growth (in percent)	-5.8	-5.9	6.3	5.2	4.6	4.4	3.5	2.8	2.7	2.0	2.0	-0.3	3.2
GDP deflator in US dollar terms (change in percent)	1.6	0.9	5.3	6.8	4.2	2.2	2.0	2.0	2.0	2.0	2.0	2.2	2.7
Effective interest rate (percent) 5/	1.5	1.5	1.6	1.3	2.2	2.3	2.2	2.2	2.1	2.4	2.2	2.1	2.1
Growth of exports of G&S (US dollar terms, in percent)	34.9	-54.8	29.4	29.7	21.3	20.9	14.5	5.6	5.8	2.8	2.3	0.9	10.7
Growth of imports of G&S (US dollar terms, in percent)	1.4	-28.8	1.5	16.3	14.7	0.2	7.4	2.3	2.5	0.8	2.5	4.4	5.7
Grant element of new public sector borrowing (in percent)	…	…	…	48.0	44.3	46.0	42.6	41.1	41.6	33.2	39.7	…	41.2
Government revenues (excluding grants, in percent of GDP)	46.8	65.1	60.0	48.8	49.7	48.0	47.0	46.7	46.6	46.2	44.7	50.4	47.2
Aid flows (in Million of US dollars) 6/	10.7	13.0	32.1	32.7	37.5	48.8	47.4	48.4	52.4	34.7	38.3		
Grant-equivalent financing (in percent of GDP) 7/	…	…	…	4.2	4.6	5.2	5.0	4.9	5.0	3.1	2.5	…	4.5
Grant-equivalent financing (in percent of external financing) 7/	…	…	…	68.8	62.7	61.5	59.3	58.2	58.3	65.8	91.6	…	61.2
Nominal GDP (Million of US dollars)	558	530	593	666	726	774	818	857	898	1,112	1,653		
Nominal dollar GDP growth	-4.3	-5.0	11.9	12.3	9.0	6.7	5.6	4.8	4.7	4.0	4.0	2.0	5.9
Memorandum items:													
PV of external debt 8/	…	…	52.7	49.9	46.8	44.2	43.3	43.3	43.7	43.7	25.5		
In percent of exports	…	…	253.2	207.7	175.2	145.9	131.9	130.7	130.6	133.5	87.7		
Total external debt service-to-exports ratio	17.7	25.5	22.9	11.1	19.0	15.4	12.2	10.9	9.7	8.5	8.7		
PV of PPG external debt (in Million of US dollars)			233.1	242.5	240.6	244.6	254.8	269.4	288.5	371.0	290.4		
(PVt-PVt-1)/GDPt-1 (in percent)				1.6	-0.3	0.5	1.3	1.8	2.2	0.8	-1.1		
Non-interest current account deficit that stabilizes debt ratio 9/	49.5	18.8	43.5	29.3	26.4	17.4	14.1	11.8	9.8	11.2	10.7		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + εα(1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, ε=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); other public sector flows; changes in gross foreign assets; valuation adjustments; and a external financing gap in 2020. For projections also includes contribution from price and exchange rate changes. In Dominica's case, the residual is mostly explained by the use of government deposits derived from CBI revenues and changes in privately held external debt.

4/ Macroeconomic variables are calculated on a fiscal year basis.

5/ Current-year interest payments divided by previous period debt stock.

6/ Defined as grants, concessional loans, and debt relief.

7/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

8/ Assumes that PV of private sector debt is equivalent to its face value.

9/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 7. Dominica: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2022–32

(In percent of GDP)

	Projections 1/										
	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032
PV of debt-to GDP ratio											
Baseline	36	33	32	31	31	32	33	34	34	34	33
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2022-2032 2/	36	32	31	33	35	39	**44**	**49**	**54**	**57**	**61**
A2. Catastrophic Climate Event	36	**46**	**47**	**50**	**53**	**57**	**61**	**67**	**72**	**77**	**81**
B. Bound Tests											
B1. Real GDP growth	36	38	**42**	**41**	**42**	**43**	**44**	**45**	**45**	**45**	**44**
B2. Primary balance	36	40	**45**	**44**	**45**	**45**	**46**	**47**	**47**	**47**	**47**
B3. Exports	36	**42**	**56**	**55**	**55**	**56**	**56**	**57**	**57**	**57**	**56**
B4. Other flows 3/	36	37	40	39	39	**40**	**41**	**42**	**42**	**42**	**41**
B5. Depreciation	36	**42**	34	34	34	35	36	37	38	38	37
B6. Combination of B1-B5	36	**48**	**49**	**48**	**49**	**49**	**50**	**52**	**52**	**52**	**50**
C. Tailored Tests											
C1. Combined contingent liabilities	36	39	38	37	38	38	39	**40**	**40**	**40**	40
C2. Natural disaster	36	**41**	40	40	**41**	**42**	**43**	**45**	**45**	**46**	**46**
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	152	124	104	95	95	96	96	100	102	103	102
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2022-2032 2/	152	119	104	99	106	116	127	145	162	174	**187**
A2. Catastrophic Climate Event	152	**190**	147	149	158	168	177	**198**	**216**	**233**	**248**
B. Bound Tests											
B1. Real GDP growth	152	124	104	95	95	96	96	100	102	103	102
B2. Primary balance	152	149	148	135	134	135	134	139	141	143	143
B3. Exports	152	**262**	**510**	**464**	**461**	**462**	**454**	**469**	**475**	**480**	**477**
B4. Other flows 3/	152	140	131	119	119	120	118	123	125	126	125
B5. Depreciation	152	124	91	82	83	84	84	88	90	91	90
B6. Combination of B1-B5	152	**217**	124	**229**	**229**	**230**	**228**	**237**	**241**	**243**	**240**
C. Tailored Tests											
C1. Combined contingent liabilities	152	148	125	114	114	115	114	118	120	122	121
C2. Natural disaster	152	156	134	123	125	127	127	134	137	141	142
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	9	18	14	11	10	9	8	8	8	8	8
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2022-2032 2/	9	**19**	**16**	13	12	11	10	10	11	11	11
A2. Catastrophic Climate Event	9	**21**	**15**	12	11	10	10	11	13	14	15
B. Bound Tests											
B1. Real GDP growth	9	**18**	**14**	11	10	9	8	8	8	8	8
B2. Primary balance	9	**18**	**15**	12	11	10	9	9	9	9	11
B3. Exports	9	**31**	**45**	**39**	**35**	**31**	**29**	**28**	**28**	**28**	**31**
B4. Other flows 3/	9	**18**	**15**	12	11	9	9	8	8	8	9
B5. Depreciation	9	**18**	**14**	11	10	8	8	8	8	7	7
B6. Combination of B1-B5	9	**25**	**30**	**23**	**21**	**19**	**17**	**17**	**17**	**16**	**19**
C. Tailored Tests											
C1. Combined contingent liabilities	9	**18**	**15**	12	10	9	9	8	8	8	8
C2. Natural disaster	9	**18**	**15**	12	11	10	9	9	9	9	9
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	5	9	9	8	7	6	6	6	6	6	5
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2022-2032 2/	5	10	10	9	8	8	8	8	8	8	8
A2. Catastrophic Climate Event	5	10	10	9	8	7	7	8	9	10	11
B. Bound Tests	5	10	10	9	8	7	7	8	9	10	11
B1. Real GDP growth	5	11	12	10	9	8	8	8	7	7	7
B2. Primary balance	5	9	9	9	8	7	7	7	6	6	8
B3. Exports	5	10	10	10	9	8	8	7	7	7	8
B4. Other flows 3/	5	9	9	8	7	7	6	6	6	6	6
B5. Depreciation	5	12	11	9	9	8	7	7	7	7	7
B6. Combination of B1-B5	5	11	12	11	10	9	8	8	8	8	8
C. Tailored Tests											
C1. Combined contingent liabilities	5	9	9	8	7	7	6	6	6	6	6
C2. Natural disaster	5	9	9	8	8	7	7	6	6	6	6
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18
Memorandum item:											
Grant element assumed on residual financing (i.e., financing required above baseline)	39.5	39.5	39.5	39.5	39.5	39.5	39.5	39.5	39.5	39.5	39.5

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

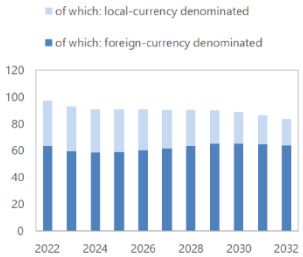
Table 8. Dominica: Public Sector Debt Sustainability Framework, 2019–42

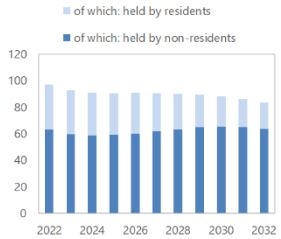
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 9/	
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2032	2042	Historical	Projections
Public sector debt 1/	**97.7**	**112.5**	**106.3**	**97.0**	**92.7**	**90.7**	**90.5**	**90.6**	**90.3**	**83.3**	**50.8**	**82.0**	**89.9**
of which: external debt	**56.6**	**70.9**	**68.6**	**63.1**	**59.3**	**58.5**	**58.9**	**60.0**	**61.5**	**63.5**	**37.9**	**59.9**	**62.0**
Change in public sector debt	12.0	14.8	-6.1	-9.3	-4.4	-1.9	-0.2	0.1	-0.3	-2.8	-2.5		
Identified debt-creating flows 2/	**10.8**	**11.8**	**-4.8**	**-6.6**	**-2.4**	**-0.7**	**0.1**	**0.2**	**-0.2**	**-2.8**	**-2.5**	**-0.3**	**-1.5**
Primary deficit	**5.6**	**5.4**	**6.0**	**2.0**	**1.4**	**0.5**	**0.6**	**0.5**	**0.2**	**-2.8**	**-2.3**	**-0.3**	**-0.1**
Revenue and grants	48.7	67.5	65.4	51.3	52.2	50.5	49.4	49.2	49.0	48.6	47.0	**53.1**	**49.6**
of which: grants	1.9	2.4	5.4	2.4	2.4	2.4	2.4	2.4	2.4	2.3	2.3		
Primary (noninterest) expenditure	54.3	72.9	71.4	53.3	53.6	50.9	50.0	49.7	49.2	45.8	44.7	**52.8**	**49.5**
Automatic debt dynamics	**5.2**	**6.4**	**-10.9**	**-8.6**	**-3.8**	**-1.2**	**-0.6**	**-0.3**	**-0.4**	**0.0**	**-0.2**		
Contribution from interest rate/growth differential	5.1	6.2	-10.3	-8.7	-3.5	-1.2	-0.5	-0.2	-0.3	0.0	-0.2		
of which: contribution from average real interest rate	-0.2	0.1	-3.7	-3.5	0.8	2.7	2.6	2.2	2.0	1.7	0.8		
of which: contribution from real GDP growth	5.3	6.1	-6.6	-5.2	-4.3	-3.9	-3.1	-2.4	-2.4	-1.7	-1.0		
Contribution from real exchange rate depreciation	0.1	0.2	-0.5	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual 3/	**1.2**	**3.0**	**-1.3**	**-2.6**	**-2.3**	**-1.2**	**-0.3**	**-0.2**	**-0.1**	**0.0**	**0.0**	**6.0**	**-0.6**
Sustainability indicators													
PV of public debt-to-GDP ratio 4/	**...**	**...**	**77.0**	**70.4**	**66.5**	**63.8**	**62.8**	**62.0**	**60.9**	53.2	30.4		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**117.7**	**137.2**	**127.5**	**126.4**	**127.1**	**126.2**	**124.3**	**109.5**	**64.8**		
Debt service-to-revenue and grants ratio 5/	**16.6**	**-8.0**	**7.9**	**13.0**	**22.2**	**20.4**	**19.5**	**19.6**	**19.8**	**16.5**	**11.5**		
Gross financing need 6/	13.6	0.0	11.2	8.7	13.0	10.8	10.3	10.1	`	5.2	3.1		
Key macroeconomic and fiscal assumptions 7/													
Real GDP growth (in percent)	-5.8	-5.9	6.3	5.2	4.6	4.4	3.5	2.8	2.7	2.0	2.0	**-0.3**	**3.2**
Average nominal interest rate on external debt (in percent)	1.8	1.5	1.5	0.9	2.0	2.2	2.1	2.0	1.9	2.3	1.9	**2.3**	**2.0**
Average real interest rate on domestic debt (in percent)	-0.6	-0.1	-4.5	0.7	5.4	8.5	7.9	6.9	6.7	6.9	7.2	**-0.1**	**6.3**
Real exchange rate depreciation (in percent, + indicates depreciation)	0.2	0.4	-0.8	...	...	...	...	...	...	...	...	**-0.3**	**...**
Inflation rate (GDP deflator, in percent)	1.6	0.9	5.3	6.8	4.2	2.2	2.0	2.0	2.0	2.0	2.0	**2.2**	**2.7**
Growth of real primary spending (deflated by GDP deflator, in percent)	-24.9	26.2	4.2	-21.6	5.2	-0.7	1.7	2.0	1.7	-0.1	1.8	**6.7**	**-0.7**
Primary deficit that stabilizes the debt-to-GDP ratio 8/	-6.5	-9.4	12.2	11.3	5.8	2.4	0.8	0.4	0.4	0.0	0.2	**-1.2**	**2.0**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, government-guaranteed debt . Definition of external debt is Residency-based.

2/ Primary deficit coverage (revenue and expenditures) includes central government and SOEs.

3/ Residuals are mainly related to fluctuations in public sector deposits in the banking system, which have been accumulated mainly from CBI revenues. These deposits stood at 11 percent of GDP at end-2020.

4/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

5/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

6/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

7/ Macroeconomic variables are calculated on a fiscal year basis,

8/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

9/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 9. Dominica: Sensitivity Analysis for Key Indicators of Public Debt, 2022–32

(In percent of GDP)

	Projections 1/										
	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032
PV of Debt-to-GDP Ratio											
Baseline	**70**	**67**	**64**	**63**	**62**	**61**	**60**	**59**	**57**	**55**	53
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2022-2032 2/	**70**	**70**	**69**	**70**	**70**	**70**	**71**	**71**	**71**	**72**	**74**
A2. Catastrophic Climate Event	**70**	**83**	**83**	**84**	**85**	**82**	**77**	**76**	**75**	**73**	**71**
B. Bound Tests											
B1. Real GDP growth	**70**	**83**	**104**	**114**	**125**	**135**	**146**	**155**	**165**	**175**	**184**
B2. Primary balance	**70**	**74**	**79**	**77**	**77**	**75**	**74**	**73**	**72**	**70**	**67**
B3. Exports	**70**	**73**	**83**	**82**	**81**	**79**	**78**	**77**	**75**	**74**	**71**
B4. Other flows 3/	**70**	**71**	**72**	**71**	**70**	**69**	**68**	**66**	**65**	**63**	**61**
B5. Depreciation	**70**	**72**	**65**	**60**	**55**	51	46	42	37	32	28
B6. Combination of B1-B5	**70**	**73**	**75**	**74**	**73**	**73**	**72**	**71**	**69**	**68**	**65**
C. Tailored Tests											
C1. Combined contingent liabilities	**70**	**74**	**71**	**70**	**69**	**68**	**67**	**65**	**64**	**62**	**60**
C2. Natural disaster	**70**	**76**	**74**	**73**	**73**	**72**	**72**	**71**	**70**	**69**	**67**
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	137	128	126	127	126	124	122	120	118	113	110
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2022-2032 2/	137	133	136	140	141	142	142	143	144	146	149
A2. Catastrophic Climate Event	137	192	183	182	179	171	158	156	154	149	145
B. Bound Tests											
B1. Real GDP growth	137	157	202	227	250	272	293	314	334	352	373
B2. Primary balance	137	142	156	157	156	154	152	150	147	143	139
B3. Exports	137	141	164	165	164	162	160	158	155	150	146
B4. Other flows 3/	137	135	143	143	142	140	138	136	134	129	125
B5. Depreciation	137	138	128	121	113	104	95	86	77	67	57
B6. Combination of B1-B5	137	140	147	149	149	147	146	144	142	138	134
C. Tailored Tests											
C1. Combined contingent liabilities	137	141	140	141	140	138	136	134	131	127	123
C2. Natural disaster	137	146	146	148	148	147	146	145	143	140	137
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	13	22	20	20	20	20	20	19	18	17	17
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2022-2032 2/	13	24	23	22	23	24	24	23	23	23	22
A2. Catastrophic Climate Event	13	30	25	23	22	21	20	19	18	17	19
B. Bound Tests											
B1. Real GDP growth	13	25	27	27	28	29	30	29	29	29	30
B2. Primary balance	13	22	21	21	21	21	21	20	19	18	19
B3. Exports	13	22	21	21	21	21	21	19	19	18	18
B4. Other flows 3/	13	22	21	20	20	20	20	19	18	18	17
B5. Depreciation	13	22	22	21	20	20	20	18	17	17	15
B6. Combination of B1-B5	13	23	22	21	22	22	22	21	20	19	19
C. Tailored Tests											
C1. Combined contingent liabilities	13	22	21	20	20	20	20	19	18	18	17
C2. Natural disaster	13	23	21	20	21	21	21	20	19	18	18
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-GDP Ratio											
Baseline	**6.7**	**11.6**	**10.3**	**9.7**	**9.6**	**9.7**	**9.6**	**9.0**	**8.7**	**8.4**	**8.0**
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2022-2032 2/	7	12	11	11	11	12	12	12	11	11	11
A2. Catastrophic Climate Event	7	13	11	10	10	10	10	9	9	9	9
B. Bound Tests											
B1. Real GDP growth	7	13	14	13	14	14	15	14	14	14	15
B2. Primary balance	7	12	11	10	10	10	10	10	9	9	9
B3. Exports	7	12	10	10	10	10	10	9	9	9	9
B4. Other flows 3/	7	12	10	10	10	10	10	9	9	9	8
B5. Depreciation	7	12	11	10	10	10	10	9	8	8	7
B6. Combination of B1-B5	7	12	11	11	11	11	11	10	10	9	9
C. Tailored Tests											
C1. Combined contingent liabilities	7	12	11	10	10	10	10	9	9	9	8
C2. Natural disaster	7	12	11	10	10	10	10	10	9	9	9
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

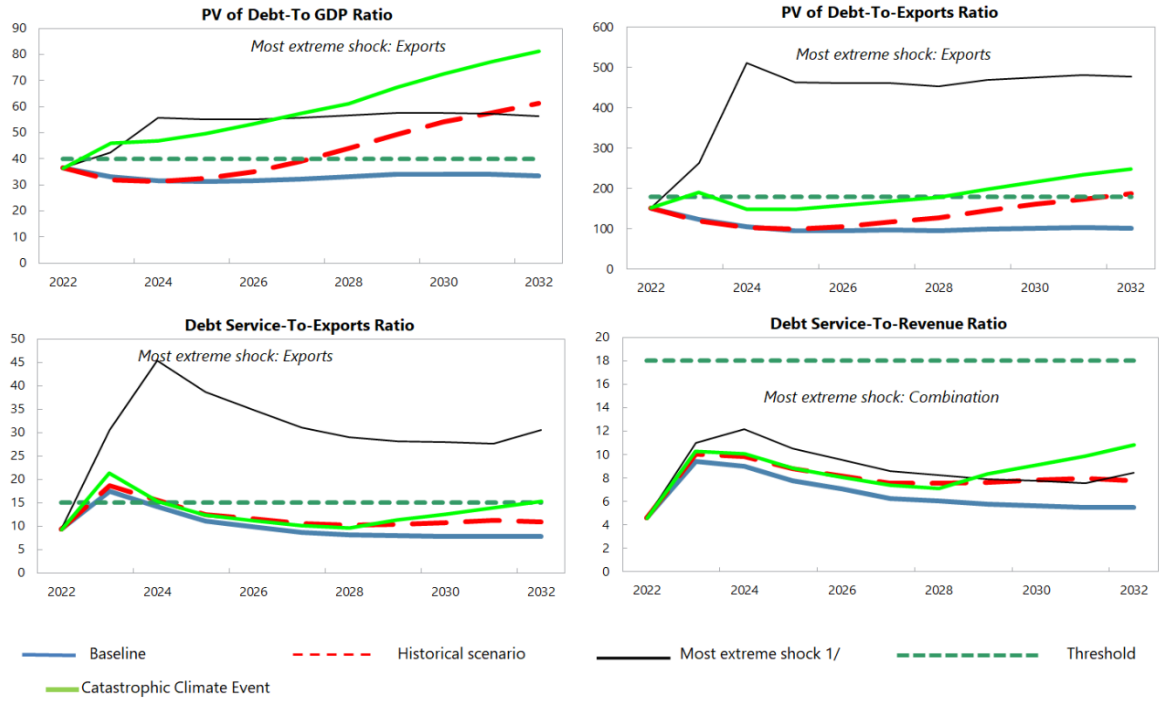
Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the benchmark.

2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

3/ Includes official and private transfers and FDI.

Figure 1. Dominica: Indicators of Public and Publicly Guaranteed External Debt Under Alternative Scenarios, 2022–32



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster 2/	No	No
Commodity price 3/	n.a.	n.a.
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing Assumptions On Additional Financing Needs Resulting From The Stress Tests*	Default	User Defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.7%	1.7%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	31	31
Avg. grace period	8	8

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

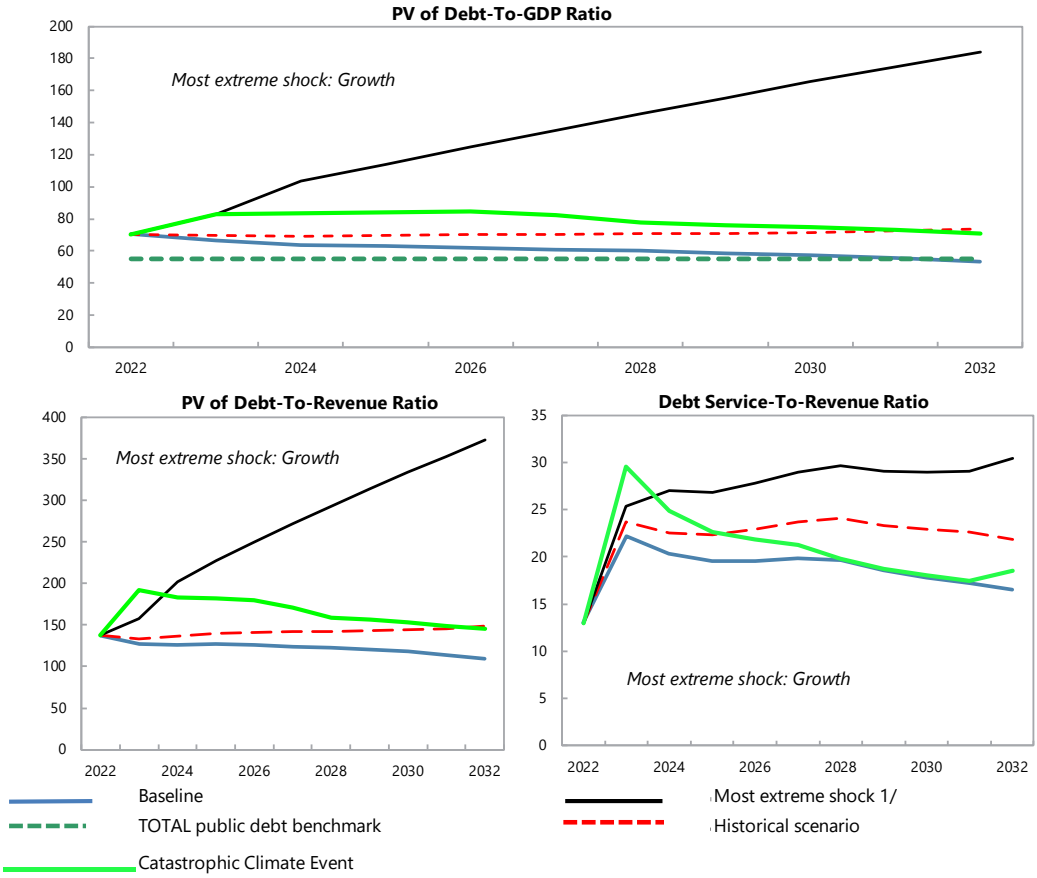
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2032. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ Natural disaster shock applies, but is generated as Customized Scenario (not as a Tailored Scenario) to more precisely mimic the impact of recent Hurricane Maria.

3/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Dominica: Indicators of Public Debt Under Alternative Scenarios, 2022–32



Borrowing Assumptions On Additional Financing Needs Resulting From The Stress Tests*	Default	User Defined
Shares of marginal debt		
External PPG medium and long-term	42%	90%
Domestic medium and long-term	58%	10%
Domestic short-term	0%	0%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.7%	2.5%
Avg. maturity (incl. grace period)	31	15
Avg. grace period	8	8
Domestic MLT debt		
Avg. real interest rate on new borrowing	2.3%	0.5%
Avg. maturity (incl. grace period)	5	15
Avg. grace period	0	0
Domestic short-term debt		
Avg. real interest rate	0.0%	0.5%

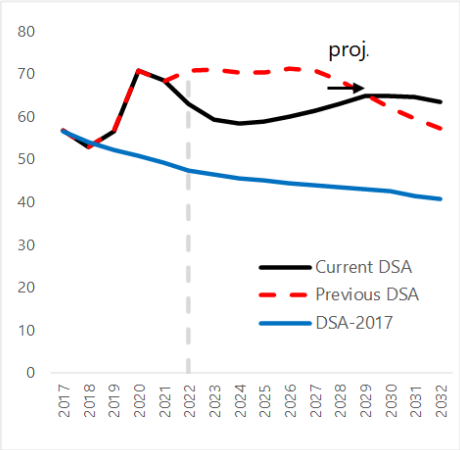
* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

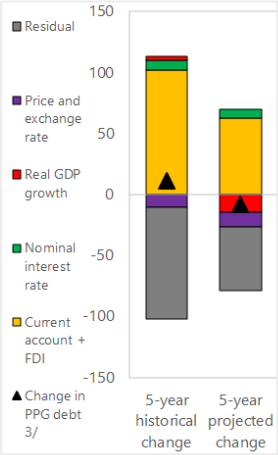
1/ The most extreme stress test is the test that yields the highest ratio in or before 2032. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 3. Dominica: Drivers of Debt Dynamics—Baseline Scenario

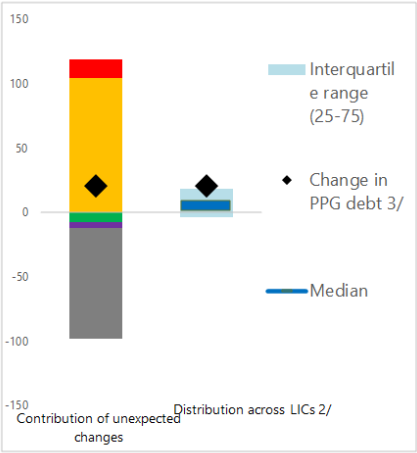
Gross Nominal PPG External Debt
(In Percent of GDP; DSA Vintages)



Debt-Creating Flows
(Percent of GDP)

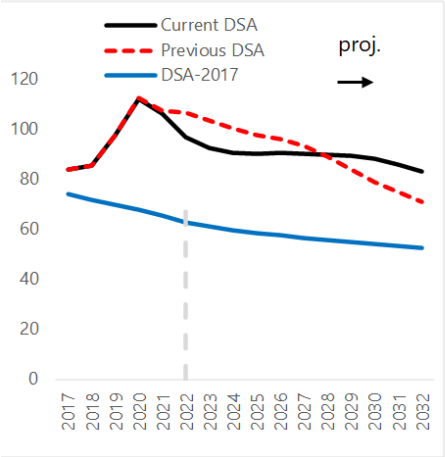


Unexpected Changes in Debt 1/
(Past 5 years, Percent of GDP)

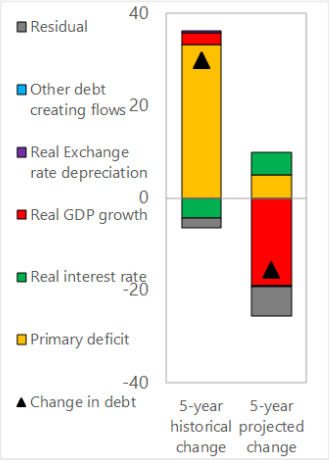


Public Debt

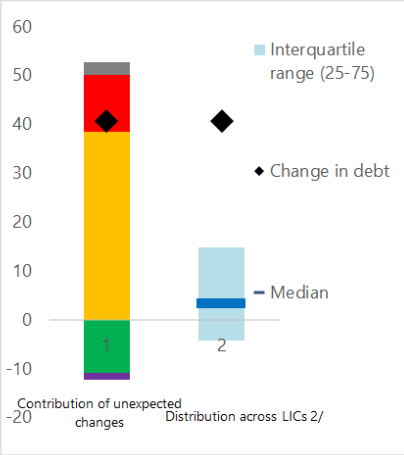
Gross Nominal Public Debt
(In Percent of GDP; DSA Vintages)



Debt-creating flows
(Percent of GDP)



Unexpected Changes in Debt 1/
(Past 5 years, Percent of GDP)



Sources: Country authorities; and staff estimates and projections.

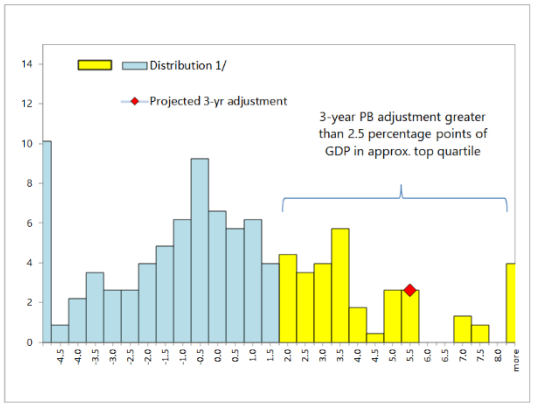
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

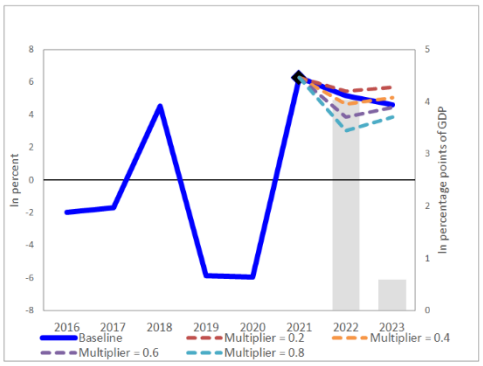
Figure 4. Dominica: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage Points of GDP)



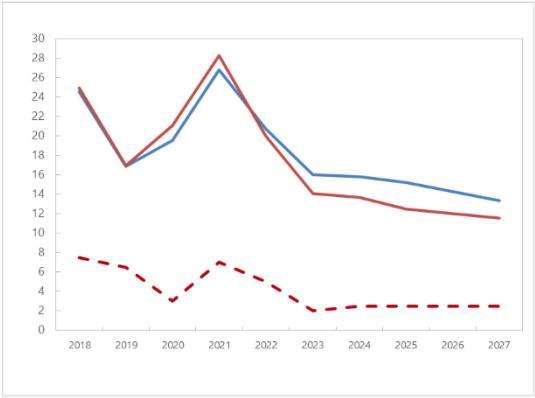
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



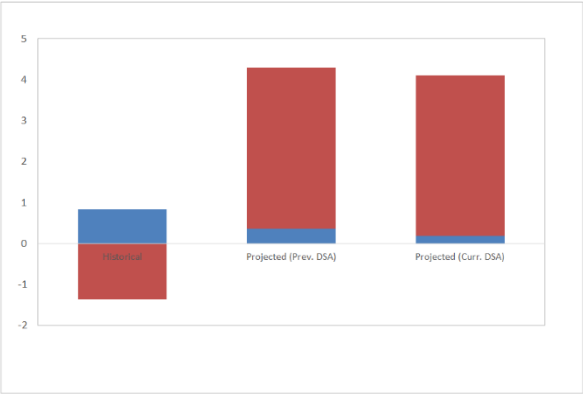
1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(Percent of GDP)



Gov. Invest. - Prev. DSA
Gov. Invest. - Curr. DSA
Priv. Invest. - Prev. DSA
Priv. Invest. - Curr. DSA

Contribution to Real GDP growth
(Percent, 5-year Average)



Contribution of other factors
Contribution of government capital

Sources: Country authorities; and staff estimates and projections.